Guillaume OTTOLINI
09/03/2026

LVMH

Sector GICS: Consumer Cyclical

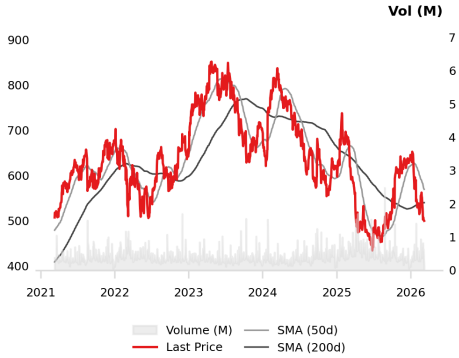
Ticker: MC.PA

Price: 499.40 €
YTD Perf.: -22.6%
Market Cap: 247.8 Bn €

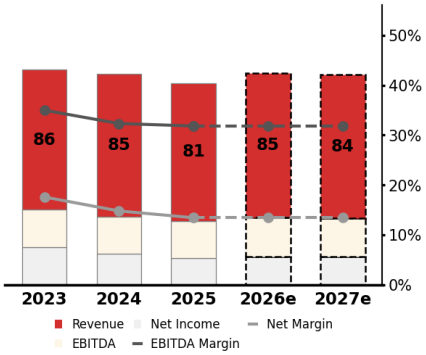
HOLD

DCF Value: 462.84 € (-7.3%)
Consensus: 640.0 € (+28.2%)

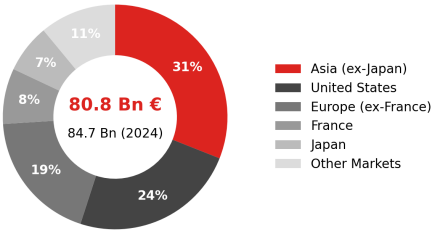
LVMH (MC.PA) - 5Y Price History
As of 09 Mar 2026



LVMH: Financial Performance (2023-2027e)



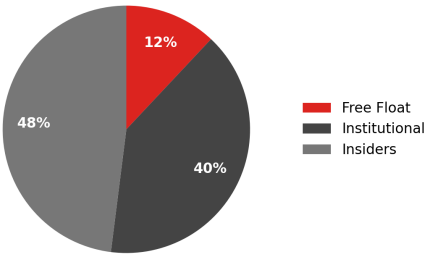
Geographic Revenue Breakdown



Executive Management:

Bernard Arnault	CEO
Jean-Jacques Guiony	CFO
Antonio Belloni	GMD
Stéphane Bianchi	CEO
Chris de Lapuente	CEO

Shareholding Structure
As of 09 Mar 2026



Top 6 Shareholders:

Christian Dior SE	42.4%
BlackRock Inc.	5.5%
The Vanguard Group	2.5%
Norges Bank Inv. Mgmt.	1.5%
Amundi Asset Mgmt.	1.0%
Fidelity Mgmt. & Res.	0.8%

Sources:

Annual Report MC.PA (FY2025)
Analyst Consensus (Bloomberg / LSEG Data)
Market Financial Data (Yahoo Finance API)
Qualitative AI Synthesis (Proprietary Model)

Company Overview:

LVMH Moët Hennessy Louis Vuitton stands as the world's leading luxury group, encompassing an unparalleled portfolio of over 75 prestigious Houses across diverse sectors. Its global presence and brand equity provide significant competitive advantages in the high-end consumer market. The group's diversified structure mitigates risks associated with single-brand or single-sector reliance, fostering consistent growth and profitability.

1. Fashion & Leather Goods (48% of Rev): Iconic brands like Louis Vuitton, Christian Dior, and Celine drive significant revenue and margin.

2. Selective Retailing (20% of Rev): Includes Sephora and DFS, offering curated luxury experiences and broad market reach.

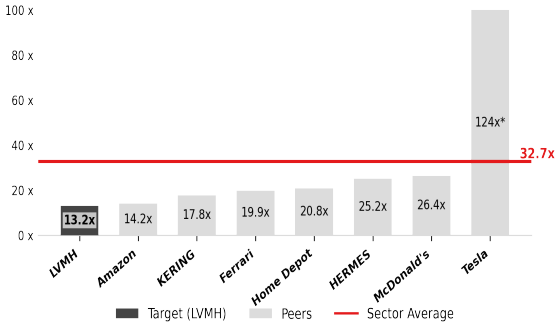
3. Watches & Jewelry (13% of Rev): Features Tiffany & Co., Bulgari, and TAG Heuer, capitalizing on enduring demand for high-craftsmanship items.

4. Perfumes & Cosmetics (10% of Rev): Brands such as Dior Parfums and Guerlain maintain strong market positions.

5. Wines & Spirits (9% of Rev): Moët & Chandon, Dom Pérignon, and Hennessy represent premium offerings in their categories.

Financials (Bn €)	2023	2024	2025	2026e	2027e
Revenue	86.2	84.7	80.8	84.8	84.2
EBITDA	30.1	27.4	25.7	27.0	26.8
EBITDA Margin	35.0%	32.3%	31.8%	31.8%	31.8%
Net Income	15.2	12.6	10.9	11.4	11.3
EPS	30.33	25.12	21.74	22.83	22.67
Free Cash Flow	10.6	13.4	14.2	14.9	14.8
ROCE	20.6%	17.0%	15.8%	15.8%	15.8%
Net Debt / EBITDA	1.0x	1.2x	1.1x	1.1x	1.1x
P/E Ratio	16.5x	19.9x	23.0x	21.9x	22.0x
Dividend Yield	2.5%	2.6%	2.6%	2.7%	2.7%

EV/EBITDA Comparison (Consumer Cyclical)



Investment Thesis:

LVMH's formidable economic moat is built on unparalleled brand equity, heritage, and exclusive distribution networks, creating significant entry barriers in the luxury sector. Its diversified portfolio across five key business units ensures robust revenue visibility and resilience against sector-specific downturns. The group consistently demonstrates superior operating margins and exceptional free cash flow generation, driven by strong pricing power and efficient supply chain management. This financial strength underpins its ability to invest in brand desirability, innovation, and strategic acquisitions, further solidifying its market leadership and long-term profitability.

The luxury sector continues to benefit from long-term tailwinds, including rising disposable incomes in emerging markets and the increasing aspirational consumer base globally. LVMH's strategic focus on elevating brand desirability, expanding its retail footprint in key growth regions, and leveraging digital channels positions it strongly. The group's commitment to craftsmanship, sustainability, and unique customer experiences reinforces its competitive advantage against both established rivals and new entrants. This proactive strategy aims to capture evolving consumer preferences and maintain its premium market positioning.

LVMH's stock has experienced a challenging period, with a **Year-to-Date (YTD) performance of -22.6%**, reflecting broader luxury sector headwinds and macroeconomic uncertainties. The current **Market Capitalization stands at 247.8 Bn €**. Recent earnings calls highlighted resilient demand in key segments, particularly in Fashion & Leather Goods, despite a cautious outlook for certain markets. Upcoming catalysts include new product launches across its iconic brands, strategic marketing campaigns targeting high-net-worth individuals, and potential M&A; activities that could further consolidate its market position and drive future growth.

Our proprietary Discounted Cash Flow (DCF) analysis, utilizing a **WACC of 8.1%** and assuming a short-term growth of **2.0%** transitioning to a **terminal growth rate of 2.5%**, yields an intrinsic value of **462.84 €**. This suggests the stock is currently **overvalued**, with a potential downside of **-7.3%** from the current price of **499.40 €**. However, the analyst consensus target price of **640.0 €** implies a significant **+28.2% upside**. This divergence indicates the market is assigning a substantial "growth premium" to LVMH, driven by its exceptional brand power and long-term luxury market leadership, which our conservative DCF model may not fully capture.

Key Risks:

- **Economic Slowdown:** Reduced consumer spending on luxury goods during economic downturns impacts sales and profitability.
- **Currency Fluctuations:** Significant exposure to international markets makes earnings vulnerable to adverse exchange rate movements.
- **Brand Dilution:** Over-expansion or mismanaged brand extensions could erode exclusivity and brand desirability.
- **Supply Chain Disruptions:** Geopolitical events or raw material shortages can impact production and timely delivery.
- **Regulatory Changes:** New tariffs, trade policies, or luxury taxes in key markets could negatively affect operations.

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